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AVOID FATAL FLAWS



Fatal Flaws & Fatal Mistakes:

Proactively identify and address critical weaknesses to build a solid foundation for success.

FATAL FLAWS BY THE NUMBERS

82%

of failed brands cite founder or team issues as a primary or contributing factor.

Legal

- Set calendar reminders 90, 60 and 30 days before the renewal date on every "evergreen" (auto-renewing) contract.
- A forced rebrand can cost up to \$150K, counting packaging redesign, inventory write-offs and re-educating the market.
- FDA warning letters to food and beverage brands rose 31% from 2023 to 2024, and responding to one costs an estimated \$45K–\$120K.
- 67% of emerging CPG brands have at least 2–3 significant legal vulnerabilities.
- A legal dispute costs brands under \$5M about \$47K per incident, which is often a terminal expense.
- IP and legal disputes cause 23% of CPG startup failures, yet a \$5K–\$12K attorney engagement can prevent \$500K+ in IP losses.

Why CPG Brands Fail

80%

of CPG failures come from just three causes:

34% Cash exhaustion

23% Distribution losses

23% IP/legal disputes

FATAL MISTAKES BY THE NUMBERS

Finance

- 43% of brands under \$5M have dropped below 3 months of runway at least once.
- Brands that keep 6+ months of runway have 3.2x higher survival rates.
- Cash exhaustion is the #1 cause of CPG failure at 34%.
- 58% of brands under \$5M operate without a comprehensive financial model.
- Recording distribution costs below the gross margin line can inflate your reported gross margin by 5–10 points.

Sales & Marketing

- Brokers are paid on commission, so they tend to maximize doors regardless of profitability.
- 68% of brands that enter mass retail too early miss minimum velocity (1.5–2.0 units per store per week) and are delisted within 12 months.
- Brands in deep promotional cycles see baseline velocity fall 35–60% within 18 months.
- In-store demos and sampling deliver 6–8x the ROI of deep discounts.
- Brands with first-time CPG marketers have 2.7x higher customer acquisition costs and 41% lower repeat purchase rates.

Operations & Supply Chain

- About 35% of co-manufacturing agreements give formula ownership to the manufacturer unless the contract says otherwise.
- Co-mans working with brands under \$3M typically charge a 15–25% margin on top of direct costs.
- Brands that get only one quote from a key supplier overpay by an average of 22%.

FATAL FLAWS FOR EARLY-STAGE EMERGING CPG BRANDS

Legal

1. Contracts that are longer than 1 year
2. Contracts that “auto renew”
3. Personal Guarantee’s
4. Trademark Issues
5. Labels not being properly reviewed
6. Not finalizing you docs with your partner

Founder Related

7. Founder’s getting over diluted
8. Failed Partnerships or failed key hires
9. Bad Advice
10. The wrong family in the Business

Finance

11. Running out of cash.

Sales

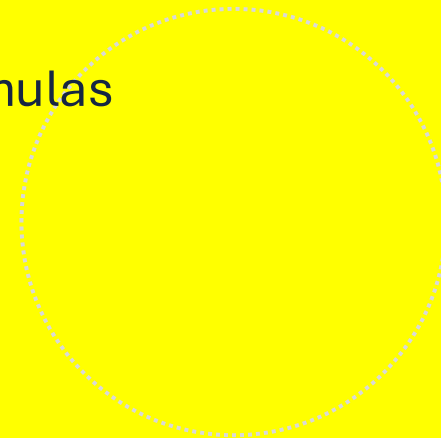
12. Outsourcing Control of your Sales

Marketing

13. Hiring the wrong head of marketing

Operations and Supply Chain

14. A Product Recall
15. Not owning your own formulas



MISTAKES FOR EARLY-STAGE EMERGING CPG BRANDS

Legal

1. Not having signed confidentiality and invention assignments by all employees.

Founder Related

1. Founder's getting over diluted
2. Legacy employment contracts with liabilities
3. Loss of focus
4. Founder trying to do too much

Sales & Marketing

5. Expanding distribution too fast
6. Launching too many new products
7. Chronic over promoting
8. BOGO's (at not until supply chain is stable)
9. Going into Walmart too early.
10. Not measuring your key account by their P&L's
11. Paying significant slotting fees early
12. Not having a clear channel strategy

Finance

13. Not fully understanding your financial model.
14. Including your distribution costs in your COGS.
15. Not getting better payment terms as you grow
16. Not properly documenting your options
17. Not maintaining proper employee documentation

Operations and Supply Chain

18. Overstocking Inventory
19. Over promising production capacity
20. Not having an itemized listing of ingredient costs if your Co-man is supplying that.
21. Not confirming your Co-mans certifications
22. Not visiting your Co-man before you sign
23. Missing early deliveries with key retailers.
24. Not getting multiple quotes on key COGS items

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